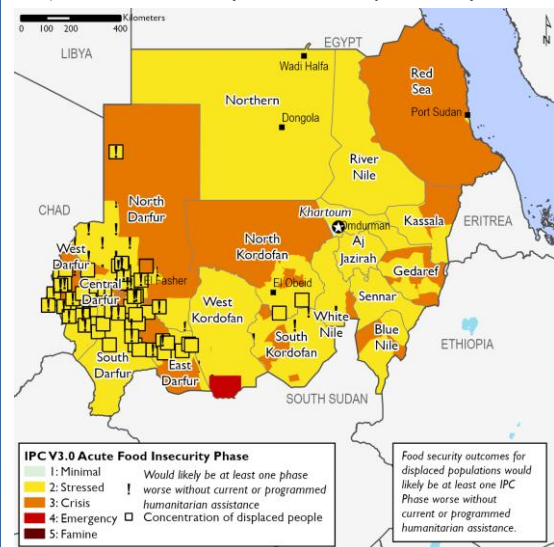


Below-average harvest, import shortages, and high food prices drive high needs through the lean season

KEY MESSAGES

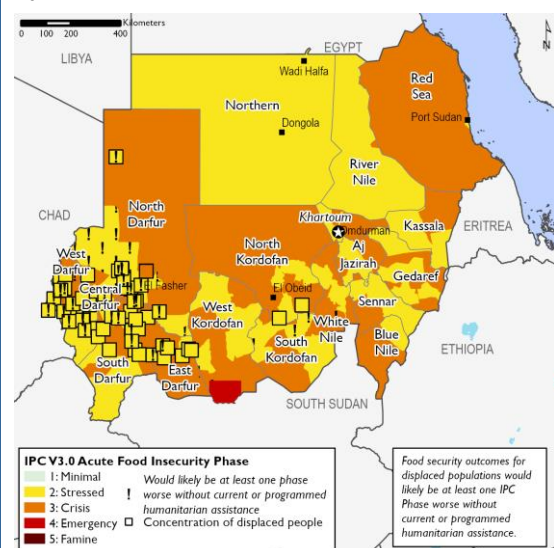
- Sudan is expected to face high humanitarian assistance needs through September 2022 due to the macroeconomic crisis and below-average harvest driving high food prices and declining household purchasing power. Conflict during the upcoming agricultural season is likely to increase the number of displaced households in Darfur. The number of households facing Crisis (IPC Phase 3) and worse outcomes is expected to remain high, particularly among IDP households, refugees, and poor pastoral, agropastoral, and urban households affected by a below-average harvest and low purchasing power.
- The 2020/22 winter season wheat harvest continues across most wheat-producing areas but is being negatively impacted by high labor and transportation costs. The harvest is estimated to be around 600,000 MT, around 13 percent lower than the five-year average. To compensate farmers for the high cost of production and the devaluation of the SDG and to encourage selling products to the Agricultural Bank of Sudan (ABS), the government has set the *Salam* price (preset price for in-kind payments of debts to the Agricultural Bank) at 43,000 SDG/90kg of wheat, which is 200-250 percent higher than last year.
- In March and April, staple food prices have continued to unseasonably increase, attributed primarily to reduced market supplies following the below-average harvest, the extremely high production and transportation costs, the devaluation of the SDG, and the above-average demand for local wheat due to the high cost and shortages of imported wheat and wheat flour. In April 2022, staple food prices increased on average 10-15 percent compared to March and remained 200-250 percent higher than respective prices last year and over four to five times higher than the five-year average.
- Available information suggests that at least 85,000 people have been displaced in Kereniek following intercommunal clashes in late April. Displaced households likely are facing large food consumption gaps indicative of Emergency (IPC Phase 4), evidenced by reports of the complete loss of assets and IDPs eating green mangoes and sour gum. HFA plans suggest humanitarian partners are responding and are beginning to distribute food and non-food items. Additional information will be provided in future reports as more information becomes available.

Projected food security outcomes, April to May 2022



Source: FEWS NET

Projected food security outcomes, June to September 2022



Source: FEWS NET

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners.

CURRENT SITUATION

Winter wheat harvest, cereal imports, and the impact of the conflict in Ukraine

In April, the 2021/22 winter wheat harvest continues across most wheat-producing areas of northern and central Sudan. Yields are expected to be below average due to shortages of improved seeds and fertilizers, poor irrigation canal maintenance, and increasing costs of electricity which affected access to pump irrigation typically used by farmers. An estimated 600,000 tons of locally produced wheat is anticipated to be harvested this season, approximately 33 percent below production last year and 13 percent below the five-year average. The estimated 2021/2022 harvest will likely provide around 23 percent of Sudan's annual wheat requirements.

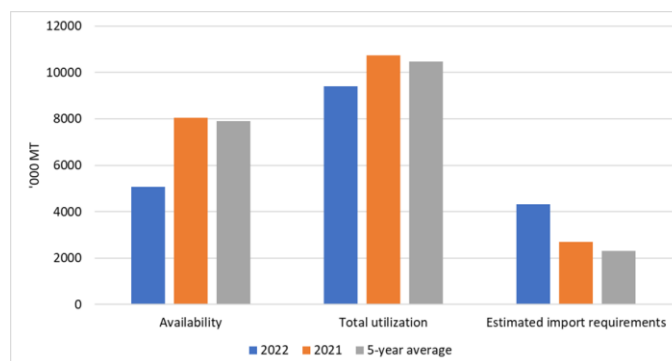
According to the annual Crop and Food Supply Assessment Mission (CFSAM), total cereal production for the 2021/22 summer and winter seasons is estimated at around 5.1 million metric tons, 36 percent below the five-year average (Figure 1). This includes 3.5 million tons of sorghum and 0.9 million tons of millet from the summer season harvest and the estimated incoming harvest of 600,000 tons of winter wheat. The available locally produced cereal will provide around 67 percent of the 7.6 million tons of cereal estimated for annual need. In April 2022, the Sudan Strategic Reserve Corporation (SRC) reported that it currently has no cereal reserve in its stores. Following the below-average harvest, this would likely leave Sudan with around a 2.5-million-ton cereal supply gap for the consumption year January to December 2022. To incentivize farmers to sell their wheat harvest and build the cereal reserves, the government has set the wheat *Salam* price (the preset in-kind payment for farmer debts to the Agricultural Bank of Sudan) at 43,000 SDG/90 kg compared to 13,500 SDG/90 kg for the last year. However, farmers continue

to raise concerns that the set price is still unprofitable due to the extremely high production costs and the SDG's devaluation and that they may seek to sell their wheat to neighboring countries to increase profits.

Due to the below-average harvest, Sudan will likely need to import at least 2.5 million tons -mainly wheat- for the 2022 marketing year (January/December). However, Sudan typically aims to have a three-month reserve of cereal stocks to support market supply during the lean season and the pre-harvest period. An additional three months of cereal stocks will increase total cereal import needs for 2022 to approximately 4.32 million tons, including about 2.9 million tons of wheat, 1.3 million tons of sorghum, and around 104,000 tons of millet. This is over 60 percent of import requirements last year and 80 percent above the five-year average for estimated imports. To fill this import gap, the government is increasing its export of gold to maintain foreign exchange reserves and fund food imports. The government will also likely seek loans from Saudi Arabia, the United Arab Emirates, and other partners to fund imports.

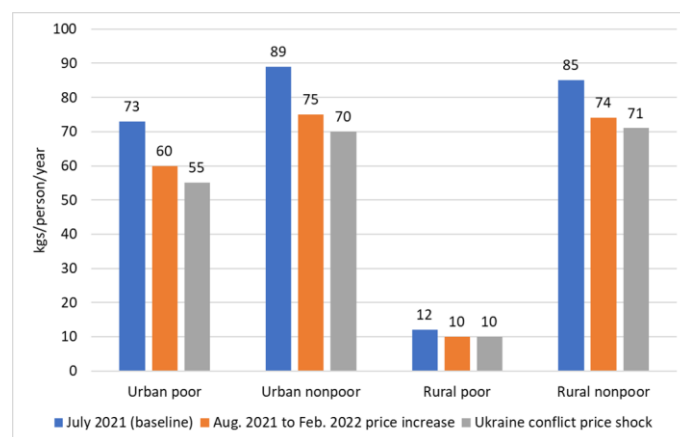
According to IFPRI, Sudan typically produces around 15 percent of the wheat it consumes, with almost 60 percent of wheat imports coming from Russia (1.33 million metric tons) and Ukraine (0.11 million metric tons) in 2020. The ongoing conflict in Ukraine, international sanctions on Russia, and its subsequent impact on global market prices, particularly for wheat, are likely further to limit Sudan's access to a key import market. In December 2021, IFPRI created a partial equilibrium model to explore the market dynamics of different shocks to the wheat market, including a 300,000 MT reduction in wheat imports, a 10 percent decline in household incomes, a 10 percent decrease in wheat production, a 30 percent increase in flatbread

Figure 1. National cereal supply/demand balance, January-December 2022, with an additional three-month reserve



Source: FEWS NET using data from 2021/22 CFSAM and CFSAM historical data

Figure 2. The estimated effect of wheat price shocks and the conflict in Ukraine on household wheat consumption (kg/person/year)



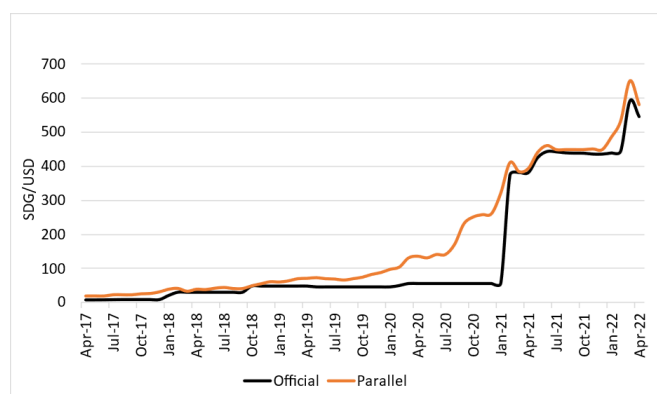
Source: IFPRI

prices, and the combined effect of a 300,000 MT reduction in wheat imports and a 30 percent increase in flatbread prices. Results indicate that a decline in 300,000 MT of wheat imports-around 21 percent of total wheat imports from Russia and Ukraine in 2020- is likely to result in around a 54 percent increase in market wheat prices and around a 28 percent decline in the consumption of non-flatbread wheat products due to the increase in prices. Following the removal of wheat subsidies in January 2022 and the start of the conflict in Ukraine, IFPRI updated the partial equilibrium model to determine the impact of the large increase in wholesale wheat prices between August 2021 and February 2022 and a further 20 percent increase in real wheat prices following the start of the conflict in Ukraine. IFPRI's model simulations indicate that the over 60 percent in real terms increase in wholesale wheat prices in Sudan between August 2021 and February 2022 likely reduced wheat imports by 24 percent and total wheat consumption by 15 percent. Simulations of a possible further 20 percent increase in real wheat prices due to the conflict in Ukraine could lead to a further 9 percent decline in wheat imports and around 5 percent decline in wheat demand due to high prices. In particular, urban poor households are likely to be the most affected due to their relatively high per capita consumption of wheat, while poor rural households are likely the least affected due to their low per capita consumption of wheat (Figure 2). However, national imports for Sudan are likely to be further hindered by a lack of hard currency reserves in the official banking system and the continued devaluation of the SDG. Very high wheat prices are likely to increase domestic reliance and demand for sorghum and millet, increasing sorghum and millet prices. However, it is also possible that the Sudanese military government will likely continue to purchase wheat from Russia, given the close partnerships between the two countries.

Macroeconomic crisis

Sudan's macroeconomic situation has continued to deteriorate through April 2022 due to the persistent shortages of hard currency reserves, the reduced ability of the government and private sector to import essential food and non-food items, and the devaluation of the SDG following the liberalization of the SDG in early March 2022. In late April, the parallel market rate is trading at around 580 SDG/USD compared to 600-650 SDG/USD in March, while commercial banks are trading at around 547 SDG/USD (Figure 3). According to Sudan's Central Bureau of Statistics (CBS), the national inflation rate in March increased by 4.76 percentage points to 263.16, almost 79 percentage points lower than March 2021 but 151 percentage points over the five-year average. Although there has been a decline in inflation since March 2021, the continued high levels of inflation still result in the high cost of food and goods. In March 2022, the prices of most imported essential commodities increased 20-30 percent in response to the devaluation, while prices of locally produced commodities continued to increase due to the increased prices of fuel, electricity, and other imported inputs.

Figure 3. Sudanese Pound (SDG) to U.S. Dollar (USD) exchange rate, official and parallel market, August 2015 – April 2021



Source: FEWS NET/FAMIS

Staple food prices and terms-of-trade

Across all markets monitored by FEWS NET in Sudan, sorghum and millet prices unseasonably increased between February and April 2022, the post-harvest period, driven by reduced market supplies following the below-average 2021/2022 harvest, the high cost of production and transportation, the high prices of imported wheat and wheat flour, and the continued devaluation of the SDG. In April 2022, the start of the lean season following the below-average national harvest, the national average retail price of sorghum increased to 252 SDG/kg, compared to 225 SDG/kg in March and 171 SDG/KG in February. The increase in prices is likely driven by lower-than-normal market supply following the estimated below-average harvest and increased demand due to the high wheat prices and *Ramadan*. The highest increase in prices was recorded in the Nyala market in South Darfur, where sorghum prices increased by 74 percent due to reduced supplies and increased demand. Similarly, millet prices increased 30-40 percent in most millet production and consumption markets between February and April 2022, retailing on average at 515 SDG/kg in April compared to 410 SDG/kg in March. Sorghum and millet prices have remained on average 180-220 percent higher than their respective prices in 2021 and over 480-530 percent above the five-year average. To earn income, household members are migrating to traditional gold mining areas for better income-earning opportunities, relying on remittances from family members, and increasing livestock sales.

In April 2022, locally produced wheat prices also increased by 10-15 percent compared to February (Figure 4). In the main

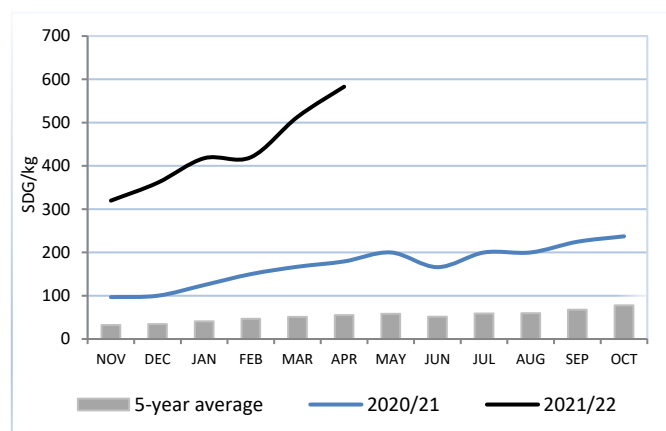
wheat production and consumption markets, locally produced wheat sold for 583 SDG/kg in April compared to 525 SDG/kg in March and 434 SDG/kg in February, around 225 percent over respective prices in 2021 and over nine times above the five-year average. The main drivers for the high locally produced wheat prices are the forecasted below-average harvest from the ongoing winter-season harvest, the high production and transportation costs, higher than normal demand for local production due to shortages and high prices of imported wheat and wheat flour, along with the continued devaluation of the SDG.

Goat and sheep prices either remained unchanged or increased by 10-20 percent in April compared to February across most main markets. The current price trends are attributed to increased supplies to local markets by pastoral and agropastoral groups for income to cover the high costs of food, fodder, and water in addition to the high cost of transportation that reduces local producers' ability to access some main markets. Across the main livestock markets, goat and sheep prices in April 2022 are almost 110-125 percent above last year and almost five times above the five-year average.

Between February and April 2022, the livestock-to-cereal terms-of-trade (TOT), a proxy for pastoral household purchasing power, significantly deteriorated, driven by high increases in sorghum prices, while livestock prices remained relatively stable (Figure 5). The April 2022 goats-to-sorghum TOT in the El Obied market dropped by 44 percent compared to February and 13 percent compared to March following a 78 percent increase in sorghum prices between February and April, while goat prices have remained at 36,000 SDG/goat since December 2021. The livestock-to-sorghum TOT in April 2022 would be around 140 kg of sorghum per goat, equivalent to around 40 days of kilocalories requirements for a family of six if only sorghum were eaten during this time. However, the TOT is around 15 percent lower than the respective TOT in April 2021 and 25 percent below the five-year average.

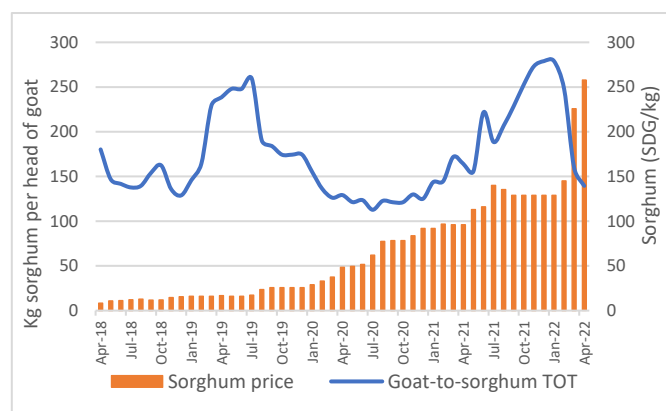
The wage-labor-to-sorghum TOT has also declined between February and April 2022 due to the continued increase in sorghum prices. In Al Gadaref market, wage labor-to-sorghum terms-of-trade declined by 33 percent between February and April 2022 to 13.3 kg of sorghum, equivalent to three days of kilocalories for a family of six if only sorghum was eaten during this time, due to a 49 percent increase in sorghum prices while labor wages remained stable at 3000 SDG/day (~5.24 USD). To increase income-earning opportunities, households are increasing their reliance on income from traditional gold mining, casual labor opportunities, and the sale of livestock.

Figure 4. Retail prices of wheat, Dongola market, Northern state, November 2020-April 2022



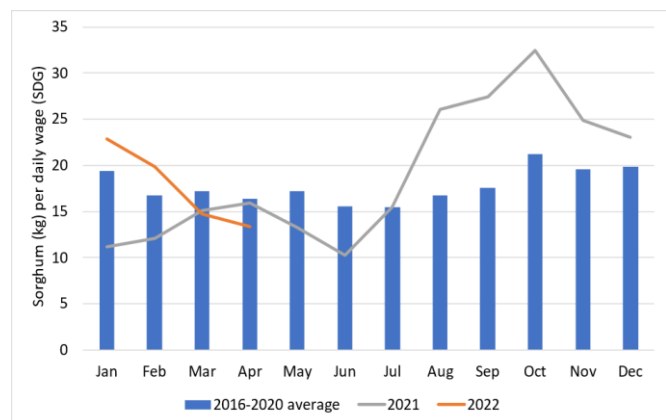
Source: FEWS NET/FAMIS

Figure 5. Goats-to-sorghum terms-of-trade (kg/head), El Obeid market, April 2018-April 2022



Source: FEWS NET/FAMIS

Figure 6. Wage-labor-to-sorghum terms-of-trade (kg/daily wage), Al Gadaref market, April 2017-April 2022



Source: FEWS NET/FAMIS

Inter-communal conflicts and new displacement

In March and April, violent inter-communal clashes erupted in Kereink, Geneina, and Jebel Moon in West Darfur state, Tulus and Geraida in South Darfur, Al Rashad in South Kordofan, Tawilla, Kutum, and Al Serif in North Darfur, Rifi Kassala in Kassala state, and the Abyei CPA area because disputes over land and competition for scarce natural resources, but also driven by the political instability and civil unrest across the country, and the increased presences of multiple armed groups in Darfur, Kordofan, and Blue Nile. The recent clashes have resulted in increased fatalities, the burning of villages, and the loss of livelihood assets, including livestock. In late April, widespread violence in Kereneik, West Darfur, resulted in widespread violence and mass displacement. OCHA has provided an unverified estimate of 85,000-115,000 people who have been displaced, with most IDPs residing near the military camp in Kerenik for protection. Displaced households likely are facing large food consumption gaps indicative of Emergency (IPC Phase 4), evidenced by reports of the complete loss of assets and IDPs eating green mangoes and sour gum. According to OCHA, the prices of basic commodities such as sorghum, sugar, millet, and oil have soared, and people have no cash or disposable income. HFA plans suggest humanitarian partners are responding and are beginning to distribute food and non-food items. Additional information will be provided in future reports as more information becomes available. In Abyei, an estimated 70,000 people have been displaced since February due to an outbreak of conflict among the Dinka, exacerbated by attacks from nomadic groups. Restrictions on humanitarian access due to the level of insecurity have been reported, with the needs of those displaced having overstretched the resources and capacities of humanitarian organizations. The humanitarian situation is expected to deteriorate further with limited supplies and funding as the rainy season approaches, and most areas are prone to severe flooding.

UPDATED ASSUMPTIONS

Revisions to the assumptions used to develop FEWS NET's most likely scenario for the [Sudan Food Security Outlook for February to September 2022](#) include:

- The below-average harvest of staple food and cash crops from the 2021/22 main agricultural season and resulting below-average market supply is expected to increase the national cereal deficit and reduce market and household food availability throughout the scenario period. Demand for local consumption is likely to remain above average across the country due to the below-average food stocks at the household level. Restocking the national grain reserve at the Strategic Reserve Corporation (SRC) is likely to be limited by the below-average harvest, high global food prices, and limited hard currency reserves for imports.
- Sudan's macroeconomic situation is expected to continue to deteriorate through the outlook period. The persistent lack of a sustainable hard currency stream and the increased need to import essential food and non-food items will likely drive further currency depreciation. Continued increases in the prices of food and transportation and the local food basket are expected to continue impacting the purchasing power of poor households and likely drive an increase in the inflation rate.
- Intercommunal violence is expected to escalate during the May-July 2022 planting season and is likely to remain higher through the entire outlook period through September 2022 compared to 2021 due to increasing disputes over access to farming lands and competition for scarce natural resources between pastoralists and farmers. Government efforts to reduce violence are likely to be stymied due to the presence of multiple armed groups in Darfur's main urban centers, including several which are signatories of the Juba Peace Agreement (JPA). The lack of progress in implementing the agreement will likely spur further incidents of sporadic violence.
- Based on the NMME, WMO, and C3S forecasts, the June to September main rainfall season in Sudan is expected to be above average. Based on current atypical river water levels, current atypical flood extent, and past occurrences trends, a fourth consecutive year of atypically extensive floods is expected to occur near major river basins in Sudan. There is an increased likelihood of a "20-year return period level" occurring near major river basins in Sudan.

PROJECTED OUTLOOK THROUGH SEPTEMBER 2022

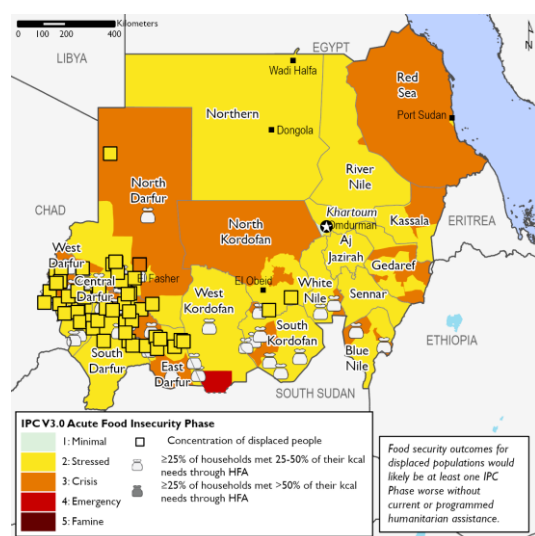
April and May typically is the start of the lean season as household food stocks begin to dwindle. However, following the below-average harvest this year, household and market food stocks are reportedly depleting earlier than usual across Sudan, along with unseasonal increases in cereal prices during the post-harvest period of February to March. This is being driven by reduced market supplies and the high production and transport costs, the devaluation of the SDG, and increased demand for locally produced food due to the high costs and shortages of imported wheat and wheat flour. The most affected households are IDPs, conflict-affected households in parts of Darfur, South Kordofan, and the Blue Nile, and poor households among

pastoral and agropastoral in the marginal areas of the Red Sea, northern Kassala, Darfur, and North Kordofan. Due to limited access to income-earning opportunities and limited purchasing power, these households are expected to face Crisis (IPC Phase 3) outcomes in April and May. Although the upcoming June to September rainy season is likely to improve household access to in-kind and cash payments from agricultural labor and improved livestock conditions, this is also typically the peak of the lean season. Most of Sudan is expected to remain Stressed (IPC Phase 2) due to the poor macro-economic conditions and high food and non-food costs, with poor households with limited access to income expected to be in Crisis (IPC Phase 3). In the absence of humanitarian food assistance, there is a risk that Emergency (IPC Phase 4) outcomes could emerge among poor households already facing Crisis (IPC Phase 3) outcomes, particularly IDPs, conflict-affected households, and pastoral and agropastoral households in South Kordofan, Darfur, and poor highly market-dependent households in the Red Sea and northern Kassala due to below-average purchasing power, high loss of assets from conflict and disruptions to market supplies and livelihood activities, and extremely high food and non-food prices. In Abyei, Emergency (IPC Phase 4) outcomes are likely in the June-September lean season as prospects for peace are low in the near term, there is restricted humanitarian access due to conflict incidents, and limited funding to scale up the HFA response in Abyei given the large-scale of need in South Sudan, and needs are likely to remain greater than available resources and capacities of humanitarian organizations.

MOST LIKELY FOOD SECURITY OUTCOMES AND AREAS RECEIVING SIGNIFICANT LEVELS OF HUMANITARIAN ASSISTANCE*

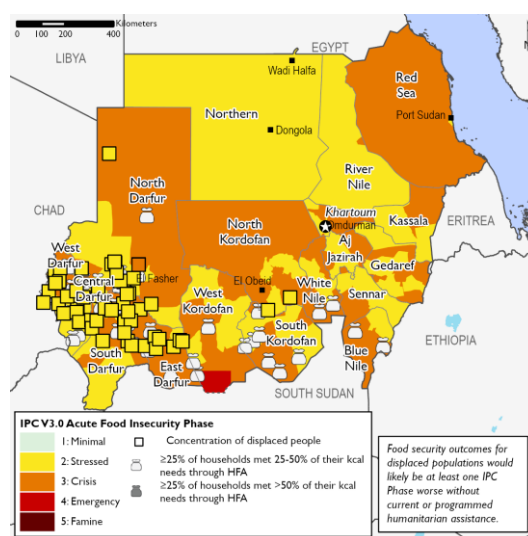
Each of these maps adheres to IPC v3.0 humanitarian assistance mapping protocols and flags where significant levels of humanitarian assistance are being/are expected to be provided. ☐ indicates that at least 25 percent of households receive on average 25–50 percent of caloric needs from humanitarian food assistance (HFA). ☐ indicates that at least 25 percent of households receive on average over 50 percent of caloric needs through HFA. This mapping protocol differs from the (!) protocol used in the maps at the top of the report. The use of (!) indicates areas that would likely be at least one phase worse in the absence of current or programmed humanitarian assistance.

Projected food security outcomes, April to May 2022



Source: FEWS NET

Projected food security outcomes, June to September 2022



Source: FEWS NET

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners.

FEWS NET: Sudan Food Security Outlook Update April 2022: Below-average harvest, import shortages, and high food prices drive high needs through the lean season, 2022

ABOUT THIS UPDATE

This report covers current conditions as well as changes to the projected outlook for food insecurity in this country. It updates the FEWS NET's Food Security Outlook, which is published three times per year. Learn more about our work [here](#).